

Traders deploy this trading strategy when they expect a complete sideways movement.

A short strangle consists of one short call (CE) and one short put (PE).

Both the options should be from the same underlying instrument but with different strike prices.

The profit potential is limited to the total premiums received.

The potential loss in this strategy is unlimited if the stock price rises and marginal if the stock price falls.

Example 1 – Nifty on 26-July-2021 (Weekly Expiry)

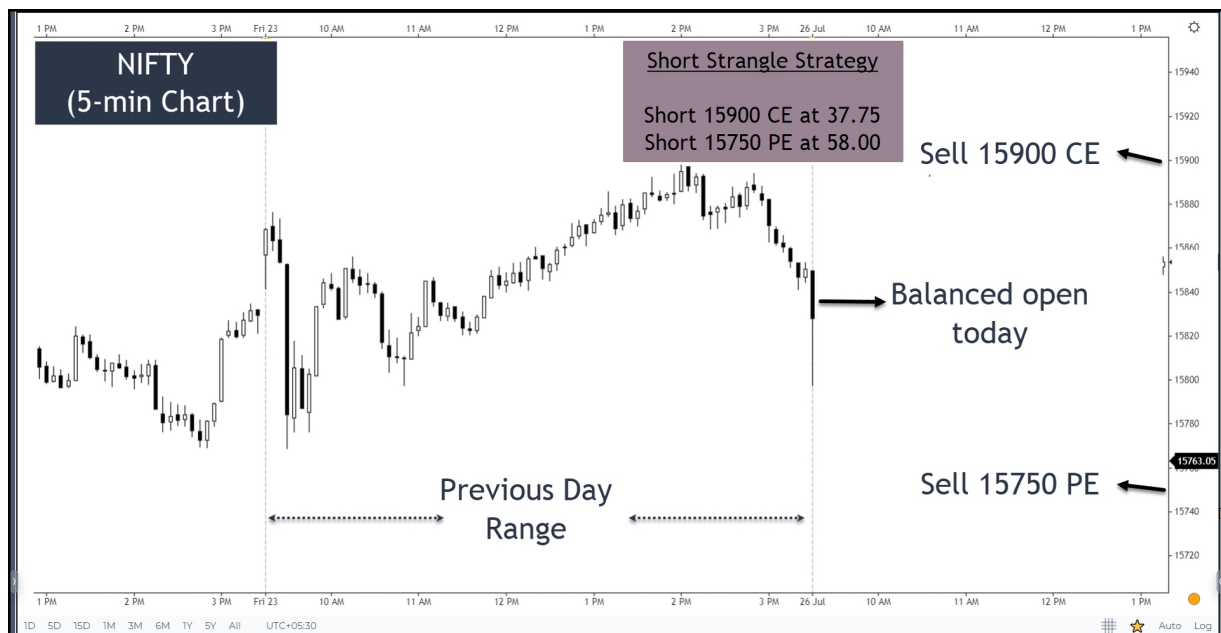


Image 9.11 – Short Strangle Strategy in Nifty

The above image shows a Nifty 5-min chart.

On 26 July 2021, it opened exactly at POC (point of control in Market Profile methodology), and it didn't break either the previous day's high or the previous day's close in the first 5-minute after the open. It also displayed strong rejection from the downside, and the price only moves slowly on the